Amazon.com, Inc.

AMZN NASDAQ

Buy	$248.84 ▲ 0.34%	12M Price Target	52-Week Range	Market Cap
		$295.00	$196.00 – $287.20	$2.68T

AMZN: Post-Earnings Jitters, But AWS Story Still Intact

WHAT HAPPENED

- AMZN had a rough mid-week — dropped from $262 to $248 in two sessions on heavy volume (48M shares on the 22nd), then stabilized. That kind of volume spike with a 5% drop usually means institutions were trimming into something — likely pre-earnings de-risking or a reaction to macro/policy noise. The fact that it's holding $248 and not breaking down further tells me buyers showed up.
- Options flow is screaming bullish — 3.3x more calls than puts, and that unusual $240 call buy (26x open interest) is someone making a big bet that the floor holds. Smart money is positioning for a bounce.

WHY IT MATTERS

The selloff + bullish options flow combo is actually a classic setup — weak hands got shaken out, and the pros are leaning in. Here's what it probably means: traders are nervous about the FTC antitrust case still grinding through courts and the ongoing tariff situation with China (Amazon's third-party marketplace is heavily China-dependent), but they don't think either will fundamentally break AWS or the ads business. If Q3 earnings next week show AWS re-accelerating (consensus is ~19% growth), this snaps back toward $270+ fast. The CEO-level insider sale is tiny and routine — don't read into it.

POLICY & POLITICAL WATCH

Two things to watch: First, the ongoing US-China tariff saga — any escalation hits Amazon's marketplace sellers (roughly 60% of units sold come from third-party sellers, many sourcing from China), which squeezes take rates. Second, the FTC's antitrust case is still active and the current administration has been mixed on Big Tech enforcement — if settlement talks emerge, that's a massive overhang removal worth 5-10% to the stock. Also keep an eye on the federal AI procurement budget — AWS GovCloud is the incumbent for a lot of this spending, and any expansion of federal cloud contracts flows straight to Amazon's highest-margin business.

IS IT EXPENSIVE?

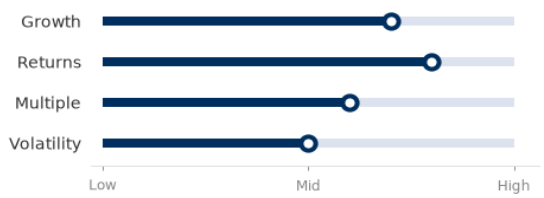
At ~36x forward earnings — meaning you're paying $36 for every $1 of profit Amazon makes next year — it's not cheap but it's not egregious for a company where the two fastest-growing segments (AWS and advertising) carry 35%+ margins. Compared to Microsoft at ~33x and Google at ~22x, Amazon's premium is defensible if AWS keeps accelerating. The stock is in the middle of its 52-week range (58%), so you're not buying the dip of the century, but you're also not chasing a top.

WHAT COULD GO WRONG

Key Data

Price (USD)	**$248.84**
12M Price Target	**$295.00**
Upside / (Downside)	**+18.6%**
Market Cap	**$2.68T**
FY2026E Revenue	**$715M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**36.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$268.00**	$255.00	**$235.00**
6 Months	**$295.00**	$275.00	**$230.00**
1 Year	**$320.00**	$295.00	**$220.00**
2 Years	**$380.00**	$335.00	**$240.00**
5 Years	**$500.00**	$420.00	**$260.00**
10 Years	**$750.00**	$580.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.93% today) is leading as rate-cut expectations firm up and AI capex plays stay in favor. Industrials catching a bid on infrastructure spending momentum.

COOLING OFF: Consumer Discretionary is lagging on a 5-day basis (-0.19%) — holiday season anxiety is creeping in, which is a mild headwind for Amazon's retail business.

ROTATION WATCH: Money is rotating INTO mega-cap tech with AI exposure and OUT of pure consumer plays — Amazon sits in both buckets, which is why it's underperforming pure-play AI names right now but will catch up when AWS numbers hit.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names (NVDA, data center REITs like EQIX, power infrastructure) benefit directly from Amazon's $100B+ spending plans.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure growth narrative is pulling capital — investors see cleaner AI monetization story than AWS right now
- GOOGL (Alphabet): Cloud + search ads holding up, trading at cheaper multiple than AMZN which attracts value-tilted buyers

AMZN CONTEXT: Amazon is lagging the mega-cap tech peer group over the past week — down ~5% while MSFT and GOOGL are flat-to-up. That tells me the market wants PROOF on AWS acceleration before paying up. If earnings deliver, this gap closes fast; if not, the lag persists.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like it here but I'd like it more after earnings confirms AWS is accelerating. Not pounding the table, but adding on weakness.

POSITION SIZE: 4-6% of portfolio — core holding size. The business is too dominant across too many categories to under-own, but the near-term setup has real binary risk around earnings.

ENTRY POINTS: $240-248 is the accumulation zone. If it breaks $235 on a market-wide selloff, back up the truck.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings (next week-ish). Longer-term catalyst is AI monetization in AWS actually showing up in the numbers.

WHEN TO BAIL: AWS growth prints under 15%, OR the FTC wins a structural remedy (forcing a breakup), OR capex blows through $120B without revenue follow-through.

HEDGING: Simplest hedge — buy puts about 10% below current price as earnings insurance. Or if you own other mega-cap tech, you're already somewhat diversified against single-stock risk.

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